

securities (more fully described later). Who's to begrudge Mr. Paulson a large share of the rewards that his firm earned for its clients by such a remarkably successful speculation?⁵

Not !! My problem with the incredible compensation earned by hedge fund managers is its asymmetry—its lack of fundamental equity. Managers on the winning side of speculation win big; but the losers don't lose big. For example, if the Paulson firm indeed *won* its gamble by betting that mortgage-backed securities or collateralized debt obligations would tumble (or being on the right side of the rank speculations known as credit default swaps), some other firm *lost* its gamble, betting that those debt obligations (or those swaps) would rise. The other side, it follows, would have *lost* \$20 billion. But those managers, as far as anyone knows, didn't give \$20 billion back to their clients. So the huge cost of our financial system rose, benefiting insiders even as their clients were impoverished (relatively speaking).

A hypothetical example makes this point clear. Suppose you invested in a fund of hedge funds, with two managers running equal shares, one on each side of the trade described earlier. One earned 30 percent and one lost 30 percent, so your account was even . . . so far. But you paid the winner, say, 20 percent of his 30 percent gain—or 6 percent—plus his 2 percent management fee, a total of 8 percent. You also paid the loser his base fee of 2 percent, bringing the fee on your entire account to an average of 5 percent. Then you paid the fund-of-funds manager another 2 percent. So, even though your portfolio had an investment return of zero (before costs), you lost 7 percent of your capital. Once again, industry wins; investor loses.

Brain Drain

Inevitably, the enormous incomes received by hedge fund managers in the recent era and the staggering salaries and bonuses paid to investment bankers have enflamed the imaginations of many of the nation's graduates of our business schools and made Wall Street the